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CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	MOTION TO STRIKE CROSS- COMPLAINT OF OAKTREE FUNDING CORPORATION

Tentative Ruling: A motion to strike is governed by CCP §§ 435 and 436. Under section 436, the Court may strike from any pleading any irrelevant, false, or improper matter, or any part of a pleading not drawn in conformity with the laws of California, a court rule, or an order of the court. (CCP § 436.) The Court reads the challenged allegations in context, accepting well-pleaded facts as true for purposes of the motion. (*Clauson v. Sup. Ct.* (1998) 67 Cal.App.4th 1253, 1255.) The moving party bears the burden of demonstrating that the targeted matter is irrelevant, false, improper, or legally deficient on the face of the pleading and any matters subject to judicial notice. (CCP § 437.)

Paragraph 28 Denial of Concealment Characterization:

Paragraph 28 alleges that “nowhere” in Plaintiff’s filings has she denied concealing the Resnick Loan and that “an allegation to the contrary cannot be found” in her Second Amended Complaint (“SAC”) or any other filing. (Cross-Compl. ¶ 28.) Plaintiff’s December 23, 2025, supplemental declaration, filed in this Court’s record, contains sworn statements that she informed the mortgage broker of the family loan, did not withhold or conceal information, and that assertions of nondisclosure are factually incorrect. (Pl.’s Reply Binder, Ex. T at ¶ 12.) Because a document in this Court’s own file facially states that Plaintiff “did not withhold or conceal” the family loan, paragraph 28’s categorical assertion that “nowhere” in her filings has she denied concealment is objectively overbroad as a description of the filed record. The Court is not asked to accept the truth of Plaintiff’s denials, only that a denial exists on the face of the record. (See *Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.) Paragraph 28 is an evidentiary support allegation, not an ultimate fact necessary to state fraud.

Paragraphs 25, 27, 49 Active Intentional Concealment Bullet, and 51 Concealment Language:

Plaintiff seeks to strike “concealed,” “concealment,” and the “Active Intentional Concealment” bullet as false or improper matter. A fraud by concealment theory requires concealment of a material fact, a duty to disclose, intent to defraud, causation, and damages. (*Boschma v. Home Loan Ctr., Inc.* (2011) 198 Cal.App.4th 230, 248.) California recognizes such claims by lenders induced to fund a loan by borrower concealment of material facts. (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1237, 1249–50.)

In the Cross-Complaint, Oaktree alleges actual knowledge, execution of the Resnick Deed of Trust before a notary, omission from the Application, certifications of truth and completeness, and nondisclosure during underwriting. (Cross-Compl. ¶¶ 13, 22, 25, 27, 51.) On those pleaded facts, “concealed” functions as a characterization of ultimate facts, not mere argumentative language. That the deed was publicly recorded does not make “concealed” facially false. The theory is not that Plaintiff hid the county records, but that she omitted a known encumbrance while submitting a supposedly complete application.

The “Active Intentional Concealment” bullet in paragraph 49 is likewise supported by alleged affirmative acts—*i.e.*, signed certifications and negative answers to specific

Application questions—rather than mere silence. (*Id.* at ¶ 49.) To the extent Plaintiff argues the pleaded facts ultimately fail to support concealment, that is a demurrer argument, not a proper section 436 strike ground.

Paragraph 7 Statute of Limitations:

Paragraph 7 alleges on information and belief that Plaintiff and/or ROES 1–10 concealed or misrepresented facts and that such conduct results in “a tolling, or an estoppel, or a waiver” of any applicable statute of limitations. (Cross-Compl. ¶ 7.) That is a legal conclusion. To invoke tolling based on delayed discovery or concealment, the pleader must specifically allege “the time and manner of discovery” and “the inability to have made earlier discovery despite reasonable diligence.” (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.) Tolling, equitable estoppel, and waiver are distinct doctrines requiring distinct factual predicates; conclusory collective invocation without specific supporting facts for each doctrine is insufficient. (*Lantzy v. Centex Homes* (2003) 31 Cal.4th 363, 383; CCP § 360.5.) Paragraph 7 does not plead the time and manner of discovery, does not allege the separate elements of equitable estoppel or waiver, and is improperly collective as to “[Plaintiff] and/or ROES 1–10.” (Cross-Compl. ¶ 7.)

Paragraphs 45, 54, and Prayer Paragraph 1 Damages Amount:

Plaintiff seeks to strike the phrase “which as of April 21, 2026, exceed \$755,215.46, which amount increases daily.” (Cross-Compl. ¶¶ 45, 54, Prayer ¶ 1.) A defrauded lender’s tort damages are ordinarily measured by actual out-of-pocket loss—the difference between what the lender gave and the actual value of what it received—not automatically the gross funded principal. (*Alliance Mortgage, supra*, 10 Cal.4th at 1240.) The only loan amount alleged in the Cross-Complaint is the original principal of \$716,580. (Cross-Compl. ¶ 10.) Oaktree does not explain the basis for \$755,215.46 or the source of the “increases daily” language (*i.e.*, whether unpaid balance, accrued contractual interest at a stated rate, etc.).

Prayer Paragraph 3 Attorney Fees:

Attorney fees are not recoverable absent a contractual, statutory, or other authorizing basis. (*Carr Business Enterprises, Inc. v. City of Chowchilla* (2008) 166 Cal.App.4th 14, 19; *see also* CCP § 1021.) Civ. Code § 1717, which authorizes an award of attorney fees to a prevailing party, applies only to actions “on a contract,” and a tort action for fraud arising out of a contract is not within section 1717. (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 615; *Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc.* (2012) 211 Cal.App.4th 230, 237.) Deed-of-trust protective-advance language materially similar to Uniform Covenant 8 in Oaktree’s Deed of Trust authorizes fees to be added to the secured debt, not awarded as a separate attorney fee judgment. (*Chacker v. JPMorgan Chase Bank, N.A.* (2018) 27 Cal.App.5th 351, 357; Oaktree’s RJN, Ex. 1.) The Cross-Complaint pleads only tort causes of action and does not identify any contractual or statutory fee basis on its face. While Oaktree references Uniform Covenants 4, 7, and 8 and Non-Uniform Covenant 21 in its opposition, it fails to demonstrate how these provisions allow for a separate award of attorney fees, as established in *Chacker*. Additionally, it does not show that any of the cited clauses are broad enough under CCP § 1021 to apply to tort claims.

Paragraph 56 and Prayer Paragraph 5 Punitive Damages:

A punitive damages prayer requires nonconclusory ultimate facts satisfying Civ. Code § 3294. (*Clauson, supra*, 67 Cal.App.4th at 1255.) Section 3294(c)(3) defines fraud as “intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention . . . of [] depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294(c)(3).) The Cross-Complaint alleges that Plaintiff (1) omitted the \$393,000 Resnick Loan from the Application; (2) signed the Application under a federal criminal penalty acknowledgment certifying truth and completeness; (3) had actual knowledge of the Resnick Loan and Deed of Trust because she signed it before a notary; and (4) previously stated she specifically asked whether the family loan lien appeared on title because she understood she would not be approved if it did. (Cross-Compl. ¶¶ 9, 12, 22, 23, 25.) Those allegations map onto section 3294(c)(3) with sufficient factual specificity.

Plaintiff’s Request for Judicial Notice Exhibits A and B GRANTED.

Defendant Oaktree’s Request for Judicial Notice Exhibits 1 and 2 GRANTED.

Plaintiff’s Motion to Strike GRANTED in PART.

Motion to Strike as to Paragraph 28 GRANTED without leave to amend.

Motion to Strike paragraph 7; the phrase “which as of April 21, 2026, exceed \$755,215.46, which amount increases daily” in paragraphs 45, 54 and paragraph 1 of the Prayer; and paragraph 3 of the Prayer GRANTED with leave to amend. Defendant Oaktree to file an amended Cross-Complaint within 15 days.

Motion to Strike paragraphs 25, 27, 49, 51, 56 and paragraph 5 of the Prayer DENIED.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	HEARING RE: DEMURRER ON CROSS-COMPLAINT OF OAKTREE FUNDING CORPORATION AS TO CAUSE(S) OF ACTION AND MOTION TO STRIKE CAUSES OF ACTION NEGLIGENT MISREPRESENTATION FRAUD / CONCEALMENT

Tentative Ruling: Before filing a demurrer or motion to strike, the moving party must meet and confer in person, by telephone, or by videoconference with the opposing party for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised. (CCP §§ 430.41(a), 435.5(a), 2016.040(a).)

Here, Plaintiff’s meet and confer declarations state only that she “met and conferred in writing with Oaktree’s counsel” (Little Decl. [Demurrer] ¶ 3), and that on June 16, 2026, she “sent written meet-and-confer correspondence to Oaktree’s counsel.” (Little